



BoJ: Taylor Rule suggests two more rate hikes in 2026

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KEY MESSAGES

We believe that the focus of monetary policy will now shift from raising underlying inflation to 2% to preventing it from climbing beyond that level.

A simplified Taylor Rule suggests a policy rate of around 1.5% if underlying inflation approaches the 2% target. The BoJ's policy rate is currently 1.0%.

We maintain our base case that the BoJ will hike just one more time this year, considering significant political constraints.

However, two more hikes this year, in September and December, are justifiable in theory. Given the potential shift in the BoJ's risk perception, the probability of such a scenario has increased, in our view.

Monetary policy entering a new phase: Until now, the Bank of Japan, under Governor Kazuo Ueda, has taken a cautious approach to monetary policy normalisation, focusing on whether the so-called “underlying” (trend) inflation is on track to reach 2% “in a sustainable and stable manner”. However, the June 2026 monetary policy statement acknowledged “a risk of underlying CPI inflation deviating upward to a level above the price stability target of 2%”, suggesting that the BoJ is now increasingly cognisant of a possible shift in the policy landscape.

To be sure, as of the June statement, the BoJ's assessment was still that “underlying CPI inflation has been approaching 2%” but had not yet reached that level. For the sake of argument, let us suppose that a level somewhere in the vicinity of 1.75% was being envisaged by the BoJ at that time.

However, the trajectory of underlying inflation has likely risen since the June statement, as the June Tankan survey results, released on 1 July, painted a clear picture of corporate sentiment remaining buoyant and firms being strongly inclined towards further price hikes (Fig. 1).

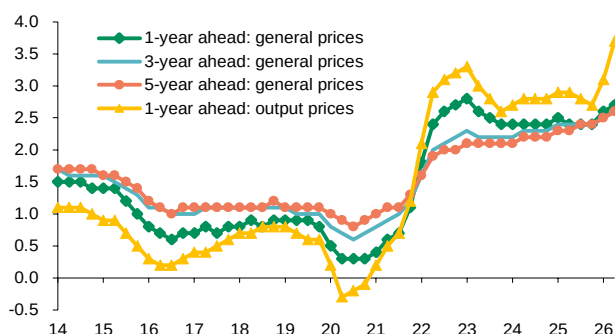
We therefore believe that the focus of monetary policy will now shift from raising underlying inflation to 2% to preventing it from exceeding 2%.

A simplified Taylor rule approach: Using a Taylor rule may help determine how the BoJ's behaviour might be impacted by this shift in prevailing conditions.

Actual policy decisions will be based on a comprehensive assessment of all relevant factors rather than mere mechanical judgments. However, the following simplified Taylor rule (with the economy's output gap omitted) serves as a useful yardstick to clarify the relationship between the underlying inflation rate and the policy interest rate.

Policy rate = Neutral nominal interest rate + $\alpha \times$ (Underlying inflation rate – 2%)

Fig. 1: Inflation outlook of corporates (%)



Sources: BoJ, BNP Paribas



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The neutral nominal interest rate is the policy rate level that neither overheats nor cools the economy. It can be derived by adding the 2% inflation target to what is known as the 'natural rate of real interest'. The BoJ has estimated the latter to be between -0.9% and +0.5%, implying a range of 1.1–2.5% for the neutral nominal rate with a midpoint of 1.8%.

α is the policy reaction coefficient, measuring the amount by which the policy rate would be adjusted in response to a 1pp deviation in underlying inflation from the 2% target. Essentially, the larger the α , the more aggressive the central bank's response to inflation. In the following discussion, we follow John Taylor's original framework by assuming $\alpha = 1.5$.

Appropriate policy rate for 2% underlying inflation: Applying this rule would result in a policy rate equal to the nominal neutral rate under a scenario where underlying inflation matches the 2% target. The nominal neutral rate is in reality an unknown quantity (even to central bankers), but a reasonable case could be made for the BoJ to hike the rate to around the middle of its estimate range – 1.8%, or 1.75% if hikes are to continue in 25bp increments – if it assesses that underlying inflation has reached 2% and the economy continues to steadily recover.

However, in a March updated report on the natural real rate of interest, the BoJ indicated that the lower estimates in its range (derived using time series models) are likely subject to a downward bias. Excluding those estimates leaves a range of -0.5% to 0.5%.

Moreover, as the BoJ estimates the economy's potential growth rate at around 0.5–1.0%, it may be more appropriate for the central bank to assume that the natural real rate of interest is "non-negative", implying that the neutral nominal rate is 2% (or slightly higher).

The BoJ, therefore, may seek to raise the rate to 1.75% or 2% once it deems that underlying inflation has reached 2%.

Appropriate policy rate when underlying inflation is approaching 2%: If the BoJ envisages a level of 1.75% when referring to "underlying CPI inflation (...) approaching 2%", the appropriate level of the policy rate would be somewhere between 1.4% and 1.6% (or between 1.375% and 1.625% based on a strict application of our model). The 1.4% lower bound corresponds to a nominal neutral rate of 1.75%, while the 1.6% upper bound corresponds to a nominal neutral rate of 2%.

In other words, the BoJ should, in theory, have hiked to around 1.5% if it believes underlying inflation is now within striking distance of 2%. It is thus currently 50bp short of the appropriate level indicated by a simplified Taylor rule.

A change in risk management: This does not necessarily mean that the BoJ is currently "behind the curve", as the central bank's position has been that underlying inflation has not yet reached 2%. However, the BoJ has now acknowledged "a risk of underlying CPI inflation deviating [to above] 2%". This is tantamount to admitting that the policymakers are now facing a new phase and may arrive at a different conclusion when applying a risk management approach.

In other words, while the central bank had previously seen the risk of premature rate hikes preventing sustained and stable 2% inflation as outweighing the risks associated with rate hikes being a little on the late side, the BoJ now appears to be less concerned about the risk of rate hikes cooling the economy and inflation than about the danger of sluggish rate hikes allowing underlying inflation to overshoot 2%.

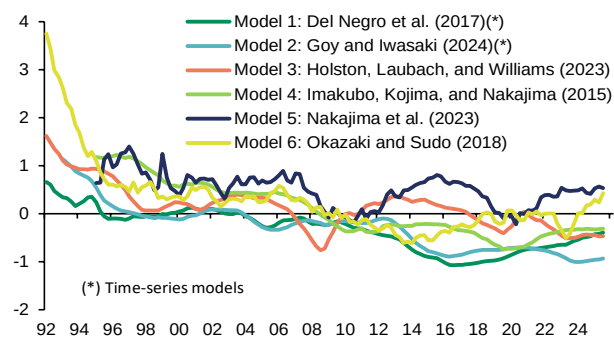
With underlying inflation now seen as at least approaching 2%, the BoJ should, in an ideal scenario, have already made more progress in normalising its policy rate towards 'neutral'. In any case, there no longer seems to be any doubt that rate hikes should continue, and the only real question is the extent to which the pace of normalisation should be accelerated.

Fig. 2: Policy rate implied by simplified Taylor rule (%)

		Underlying inflation rate								
		1.00	1.25	1.50	1.75	2.00	2.25	2.50	2.75	3.00
Nominal neutral interest rate	1.00	-0.50	-0.13	0.25	0.63	1.00	1.38	1.75	2.13	2.50
	1.25	-0.25	0.13	0.50	0.88	1.25	1.63	2.00	2.38	2.75
	1.50	0.00	0.38	0.75	1.13	1.50	1.88	2.25	2.63	3.00
	1.75	0.25	0.63	1.00	1.38	1.75	2.13	2.50	2.88	3.25
	2.00	0.50	0.88	1.25	1.63	2.00	2.38	2.75	3.13	3.50
	2.25	0.75	1.13	1.50	1.88	2.25	2.63	3.00	3.38	3.75
	2.50	1.00	1.38	1.75	2.13	2.50	2.88	3.25	3.63	4.00

Source: BNP Paribas

Fig. 3: Estimates of the natural rate of interest (%)



Source: BoJ



BoJ has been too slow to hike rates since 2025: We expected the BoJ to accelerate rate hikes at least to some degree after it confirmed that spring 2026 labour-management wage negotiations were on track to produce an average total pay increase exceeding 5% for a third straight year (which is a key driver of underlying inflation).

In the latter half of 2025, the BoJ stated that underlying inflation had risen to around 1.5%, which, according to our simplified Taylor model, would imply an appropriate policy rate of 1% (if the nominal neutral rate is 1.75%) or 1.25% (if it is 2%). It would have been ideal for the BoJ to have at least reached the lower end of that 1–1.25% range last year. Therefore, the central bank may arguably be "lagging" in rate hikes by between six months and a year.

The BoJ left its policy rate on hold for almost a year – between its January and December 2025 hikes – due to concerns over potential fallout from the Trump administration's reciprocal tariffs. As the negative impact proved to be minimal, with the benefit of hindsight, it is difficult to see why normalisation did not resume in summer 2025. A 'catch-up' phase would have been warranted then, but the onset of the Middle East crisis in late February pushed the BoJ to hold off until June, even after the March confirmation that wage growth was set to exceed 5% for the third year in a row.

Risk of two further rate hikes before the end of 2026: What should be the pace of rate hikes now? If the BoJ hikes in September and December this year, the policy rate would rise to 1.5%, roughly on par with the 1.38–1.63% range consistent with underlying inflation of 1.75% (approaching 2%) as indicated by our simplified Taylor rule. Once the policy rate reaches 1.5%, a single additional hike would align it roughly with the neutral nominal rate (1.75–2.0%) consistent with the 2% inflation target, thereby providing the BoJ with greater policy space.

Our base case differs. We believe that the BoJ is most likely to hike just once in 2026, in October. We consider this realistic, given that the central bank has trodden cautiously thus far and faces significant political constraints.

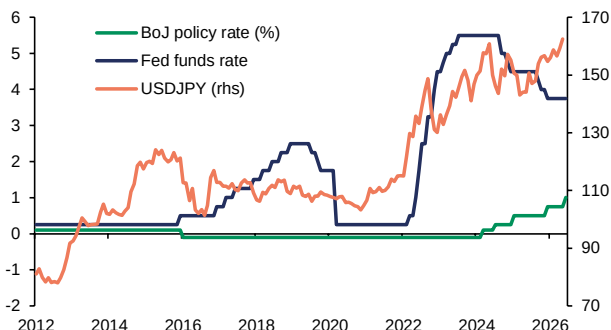
While we agree that an acceleration in the rate hike pace is warranted by economic fundamentals, we expect political pragmatism to make such a pivot difficult, meaning the BoJ may stay behind the curve. That is why we raised our forecast for the terminal policy rate from 2% to 2.5% after the June BoJ Tankan results came in surprisingly strong (see [BoJ: Raising our terminal rate forecast to 2.50%](#), dated 3 July).

Other scenarios: That said, we warn against disregarding the aforementioned shift in the BoJ's risk assessment and suggest remaining alert to the possibility of a faster pace of rate hikes starting sooner than expected in response to a perceived change in the monetary policy landscape.

Actual decisions are likely to depend significantly on any tightening action taken by the Fed, as well as any further weakening of the yen against the USD as a reaction. Even if September and December hikes prove difficult, scenarios such as September and January, or October and January, might be on the cards, in our view.

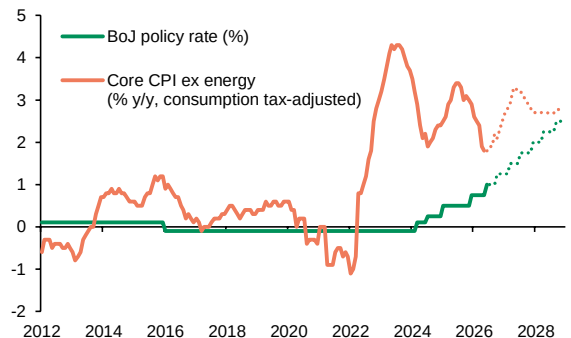
The BoJ may hike policy rate beyond neutral: If the pace of rate hikes remains slow and underlying inflation clearly overshoots 2%, then the appropriate policy rate level, consistent with our simplified Taylor rule, would rise beyond the neutral nominal rate. For example, the appropriate policy rate range would be 2.5–2.75% if underlying inflation is 2.5%, or 3.25–3.5% if it is 3%. Our current terminal rate forecast of 2.5% is premised on the 2.5% underlying inflation scenario.

Fig. 4: Japan and US policy rates and USDJPY



Sources: Bloomberg, BNP Paribas

Fig. 5: Japan policy rate and core CPI



Dotted lines denote BNP Paribas forecasts
Sources: Bloomberg, MIC, BNP Paribas



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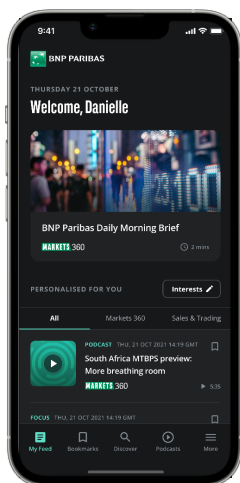
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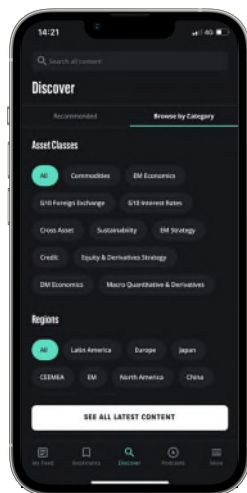
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